

HORNGREN; HARRISON; BAMBER: ACCOUNTING 4th edition

CH 1: ACCOUNTING AND THE BUSINESS ENVIRONMENT

➤ Accounting- The basis for business decisions:

Accounting: the info sys that measures business activities, process that info into reports and communicates the results to decision makers

Financial statements: business documents that report on a business in monetary amounts, providing info to help people make informed business decisions

The users of Accounting information: Decision makers:

Individuals: people use acc info in their day-to-day affairs to manage bank acc, evaluate job investments and decide whether to make an investment

Businesses: managers need acc info to set goals for their org to evaluate progress towards these results and to take corrective actions if necessary.

Investors: they provide the money a business needs to begin operations → so they need it in order to decide whether to invest or not in a company (see the potential)

Creditors: before making a loan, creditors (lenders) such as banks determine the borrowers ability to meet scheduled payments

Government Regulatory Agencies: most org face govern regulations, such as SEC Securities and Exchange commission eg

Taxing authorities: local, state and federal govern levy taxes, income tax is figured using acc info

Nonprofit org and others...

Financial Acc and Management Acc:

Financial Acc: the branch of Acc that focuses on info for people outside the firm

Management Acc: the branch of Acc that focuses on info for internal decision makers of a business, such as top executives

➤ The history & Development of Acc:

Financial Acc Standards FASB: the private org that determines how acc is practiced in the US

Certified Public Accountant CPA: a licensed accountant who serves the general public rather than one particular company

Certified Management Acc CMA: a licensed accountant who works for a single company

➤ Types of Business Org

Proprietorship: a business with a single owner

Partnership: a business with two or more owners

Corporation: a business owned by stockholders, it begins when the state approves its articles of incorporation. A corporation is a legal entity, an “artificial person”, in the eyes of the law.

Stockholder/Shareholder: a person who owns stock in a corporation

➤ Acc concepts and Principles:

Generally Accepted Acc Principles GAAP: Acc guidelines, formulated by the Financial Acc Standards Board, that govern how accountants measure, process and communicate financial info.

- The entity concept: an **entity**: is an org or a section of an org that for acc purposes stands apart from other org and individuals as a separate economic unit.
The transaction of different entities should not be accounted for together. Each entity should be evaluated separately.
- The reliability (objectivity) principle: Acc standards are based on the most reliable data available so that they will be as accurate and useful as possible. Reliable data are verifiable.
- The cost principle: states that acquired assets and services should be recorded at their actual (historical) cost

- The going-concern concept: this holds that the entity will remain in operation for the foreseeable future. Most firm's resources (eg land, building, equipment) are acquired to use rather than to sell. Under this concept accountants assume that the business will remain in operation long enough to use existing resources for their intended purpose
- The stable-monetary-unit concept: accountant assume that the dollar's purchasing power is relatively stable

➤The Acc equation:

Acc equation: the most basic tool of acc, presenting the resources of the business and the claims to these resources: $\text{Assets} = \text{Liabilities} + \text{Owners equity}$

Assets and Liabilities:

Assets: an economic resource that is expected to be of benefit in the future

Liability: an economic obligation (debt) payable to an individual or an org outside the business

Acc receivable: a promise to receive cash from customers to whom the business has sold goods/ performed services.

Note receivable: a written promise for future collection of cash

Acc payable: a liability backed by the general reputation & credit standing of the debtor

Note payable: a written promise of future payment

Owner's equity

Owner's equity (capital): the claim of a business owner to the assets of the business

Revenue: amounts earned by delivering goods/ services to customers. Revenues increase owner's equity

Owner withdrawals: amounts removed from the business by an owner

Expense: decrease in owner's equity that occurs from using assets or increasing liabilities in the course of delivering goods/ services to customers

➤The Financial Statements:

1. **Income statement**: summary of an entity's revenues, expenses and net income or net loss for a specific period. (Also called: statement of operations, statement of earnings)
2. **Statement of owner's equity**: summary of the changes in an entity's owner's equity *during a specified period*
3. **Balance sheet**: List of an entity's assets, liabilities and owner's equity as of a *specific date*. (Also called statement of financial position)
4. **Statement of cash flows**: reports cash receipts and cash disbursements during a period. (See also box on p 23)

CH 2: RECORDING BUSINESS TRANSACTIONS

➤The Acc:

Account: the detailed record of the changes that have occurred in a particular asset, liability or owner's equity during a period. The basic summary device of acc.

Ledger: the book of accounts

Assets	Liabilities	Owners equity
Cash	Note payable	Capital
Notes receivables	Accounts payable	Withdrawals
Accounts receivable	Accrued liabilities	Revenues
Prepaid expenses		Expenses
Land		
Building		
Equipment, furniture and fixtures		

➤Double-Entry Acc:

Debit: the *left* side of an acc

Credit: the *right* side of an acc

ASSETS		=	LIABILITIES		+	OWNER'S EQUITY	
Debit	Credit		Debit	Credit		Debit	Credit
↑	↓		↓	↑		↓	↑

Learning Tip: in all transactions, total debits must equal total credits

➤ Recording Transaction in the Journal

Journal: the chronological acc record of an entity's transactions

Posting: transferring of amounts from the journal to the ledger

Transaction occurs	➔	Source documents are prepared	➔	Transaction analysis takes place	➔	Transaction entered in Journal	➔	Amounts posted to the ledger
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➤ The Trial Balance

Trial Balance: a list of all the ledger acc with their balances

how to correct: see p 54

➤ Chart of Acc in the Ledger: **Chart of Acc:** list of all the acc numbers in the ledger

➤ The normal Balance of acc: An accounts balance appears on the side of the acc-debit or credit- where increases are recorded (on the positive side). Thus cash and other assets usually have a debit balance, so normal balance of assets is on the debit side. Conversely, liabilities and Owner's equity usually have a credit balance, so their normal balance are on the credit side.

Learning tip: recording an expense does not necessarily involve a credit to cash, the expense can be recorded now, but cash is paid later. Likewise, a debit to cash does not always mean revenue, since cash can be collected on a receivable.

CH 3: MEASURING BUSINESS INCOME: THE ADJUSTING PROCESS

➤ Net income, the Income Statement and Adjusting entries:

To measure the income in an org a business must do some additional accounting at the end of the period to bring the records up to date. This process is called adjusting the books, and it consists of special entries called adjusting entries.

Accrual-Basis Acc versus Cash-Basis Acc:

Accrual-Basis Acc: acc that records the impact of a business event as it occurs, regardless of whether the transaction affected cash.

Cash-Basis Acc: acc that records transactions only when cash is received or paid.

GAAP requires businesses to use the accrual basis. Since it gives complete info to potential creditors. Revenue and Expenses are recorded when they occur.

- **Revenue principle:** is the basis for accounting revenues; it tells accountant when to record revenue and the amount of revenue to record.
- **Matching principle:** the basis for recording expenses. Direct accountants to identify all expenses incurred during the period, to measure the expenses and to match them against the revenues earned during that same span of time.
- **Time-Period Concept:** ensures that acc info is reported at regular intervals.

➤ Adjusting the Acc:

Adjusting Entry: entry made at the end of the period to assign revenues to the period in

which they are earned and expenses to period in which they are incurred. Adjusting entries help measure the period's income and bring the related asset and liability acc to correct balances for the financial statements.

➤ Prepays (Deferrals) and Accruals:

- **Prepaid expense:** advance payment of expenses. A category of miscellaneous (verschiedenartige) assets that typically expire or are used up in the near future. Examples: prepaid rent, prepaid insurance and supplies...
- Depreciation of Plant Assets: **Plant Asset:** long-lived tangible assets – such as land, buildings, equipment – used in the operations of a business. **Depreciation:** the allocation of a plant asset's cost to expense over its useful life (only estimated!!).

Learning Tip: an expense is recorded whenever a good/ service is used. As plant assets are used, the portion of the cost that is used during the period is called depreciation.

Accumulated depreciation: the cumulative sum of all depreciation expense recorded for an asset. Accumulated depreciation is a contra asset account.

Contra Account: an acc that always has a companion acc and whose normal balance is opposite that of the companion acc.

Book value: the asset's cost minus accumulated depreciation

- **Accrued expense:** an expense that the business has incurred but not yet paid.
Learning Tip: a prepaid expense is paid first and expensed later. An accrued expense is expensed first and paid later.
- **Accrued revenue:** a revenue that has been earned but not yet received in cash
- **Unearned revenue:** a liability created when a business collects cash from customers in advance of doing work for the customer. The obligation is to provide a product/ service in the future. (also called deferred revenue)

Summary of the adjusting entries: One purpose of the adjusting process is to measure business income (expenses & revenues) accurately. The other purpose of the adjusting process is to update the balance sheet accounts (assets & Liabilities). All adjusting entries debit or credit:

- At least one *income statement acc*, either a *revenue* or *expense*
- At least one *balance sheet acc*, either an *asset* or a *liability* *see box on p.106*

➤ The adjusted Trial Balance:

- **Adjusted Trail Balance:** A list of all the ledger acc with their adjusted balances, useful in preparing the financial statements.

➤ Relationships among the 3 Financial Statements:

1. the income statement reports net income or net loss, figured by subtracting expenses from revenues. Because revenues & expenses are owner's equity acc, their net income is transferred to the statement of owner's equity.
2. capital is a balance sheet acc, so the ending balance in the statement of owner's equity is transferred to the balance sheet. This amount is the final acc element of the balance sheet.

Total assets on the balance sheet do not necessarily equal the total debits on the adjusted trial balance; likewise the total liabilities and owner's equity do not equal necessarily the total credits on the adjusted trial balance. The reason for these differences is that Accumulated Depreciation and Owner's Withdrawals are contra acc. Recall that contra acc are *subtracted* from their companion acc on the balance sheet. But on the adjusted trial balance, contra acc are *added* as a debit or credit in their respective columns. See box summary p.111

CH 4:COMPLETING THE ACCOUNTING CYCLE

➤The acc cycle:

The accounting cycle: process by which companies produce an entity's financial statements for a specific period. For a new business the cycle begins with setting up (opening) the ledger acc. After has operated for one period, the acc balances carry over from period to period. The end of the period work prepares and readies the acc for the next period.

➤Accounting Work Sheet:

Work sheet: a columnar document designed to help move data from the trial balance to the financial statement. The work sheet is not part of the ledger or the journal and it's not a financial statement. Therefore it is not part of the formal acc sys.

1. print the acc titles and their unadjusted ending balances in the Trial Balance columns of the works sheet and total the amounts
2. enter the adjustments in the Adjustment columns and total the amounts
3. compute each account's adjusted balance by combining the trial balance and adjustment figures: Enter the adjusted amounts in the Adjusted Trail Balance columns. Then compute the total for each column.
4. extend the asset, liability and owner's equity amounts from the Adjusted Trial Balance to the Balance Sheet columns. Extend the revenue and expense amount to the Income Statement columns. Total the statement columns.
5. Compute net income or net loss as the difference between total revenue and total expenses on the Income Statement. Enter net income/ loss as a balancing amount on the income statement and on the balance sheet, and compare the final columns totals.

➤Completing the Acc cycle:

- Preparing the financial statements: is still necessary.
- Recording entries: are a key element of accrual-basis acc. The work sheet helps identify the acc that need adjustments. But actual adjustment of the acc requires journal entries that are posted to the ledger acc.
- **Closing the Acc:** step in the acc cycle at the end of the period that prepares the acc for recording the transactions of the next period. Closing the acc consists of journalizing and posting the closing entries to set the balances of revenue, expense and owner withdrawal acc to zero.
 - Temporary (nominal) acc:** the revenue & expense acc that relate to a particular acc period and are closed at the end of the period. For a proprietorship, the owner withdrawal acc is also temporary.
 - Permanent (real) acc:** acc that are not closed at the end of the period-asset, liability and capital acc.
 - Closing entries:** Entries that transfer the revenue, expense and owner's withdrawal balances from these acc to the capital acc.
 - Income summary:** a temporary "holding tank" acc into which revenues and expenses are transferred prior to their final transfer to the capital acc.
- **Postclosing Trial Balance:** List of the ledger acc and their balances at the end of the period after journalizing and posting of the closing entries. The last step of the acc cycle, the postclosing trial balance ensures that the ledger is in balance for the start of the next acc period.

➤Correcting Journal Entries:

Suppose: Gary paid \$5000 cash for furniture and erroneously debited Supplies

Incorrect entry:

May 13	Supplies	\$ 5000	
	Cash		\$ 5000
	Bought supplies		

Correcting entry:

May 15	Furniture	\$ 5000	
	Supplies	\$ 5000	
	To correct May 13 entry		

➤ Classification of Assets and Liabilities:

Liquidity: measure of how quickly an item can be converted to cash

- Assets: **Current Asset:** an assets that is expected to be converted to cash, sold or consumed during the next 12 months or within the business's normal operating cycle if longer than a year.
Operating cycle: time span during which cash is paid for goods& services, which are then sold to customers from whom the business collects cash.
Long-Term Asset: an asset other than a current asset
Fixed Asset: another name for property plant and equipment
- Liabilities: **Current Liability:** a debt due to be paid with cash or with goods/ services within one year or within the entity's operating cycle if the cycle is longer than a year.
Long-Term Liability: a liability other than a current liability

➤ Different Formats of the balance sheet:

Report format: lists the assets at the top and the liabilities and the owner's equity below

Account format: lists the assets left and the liabilities and the owner's equity right

➤ Using Acc Info in Decision Making: Acc Ratios

Current ratio = $\frac{\text{Total Current assets}}{\text{Total current liabilities}}$

- measures the company's ability to pay current liabilities from current cash
(A very strong current ratio is 2.00, which indicates that the company has \$ 2.00 in current assets for every\$ 1.00 in current liabilities)

Debt ratio = $\frac{\text{Total liabilities}}{\text{Total assets}}$

- tells the proportion of a company's assets that it has financed with debt

CH 5: MERCHANDISING OPERATINS AND THE ACC CYCLE

➤ What are Merchandising Operations?

Sales revenue: the amount that a merchandiser earns from selling its inventory

Net sales: sales revenue less sales discounts and sales returns and allowances

Cost of Goods Sold: the cost of the inventory that the business has sold to customers, the largest single expense of most merchandising businesses.

Gross margin/ Gross profit: excess of net sales over cost of goods sold

The operating cycle of a merchandising business: a merchandising entity buys inventory, sells the goods to customers and uses the cash to purchase more inventory and repeat the cycle. The faster the sale of inventory and the collection of cash, the higher the profits.

➤ Inventory Systems: Perpetual and Periodic:

Periodic Inventory System: a business does not keep a continuous record of the inventory at hand, but at the end of the period the business makes a physical count of the on-hand inventory and uses this info to prepare the financial statements

Perpetual Inventory System: a business keeps a running record of inventory and cost of goods sold.

➤ Purchasing Merchandise in the Perpetual Inventory System:

eg June 14 Inventory 500
 Accounts payable 500
 Purchased inventory on acc

Invoice: a seller's request for cash from the purchaser. (sales/ purchase invoice)

- Taking Discounts from purchase prices: *Quantity discounts:* the larger the quantity purchased the lower the price per item. Purchases are recorded by debiting Inventory and crediting Acc

payable by the net price.(price less discount). *Cash discounts/ Purchase discounts*: are a reward for prompt payment. Terms like *eom* mean that payment is due at the end of the month.

June 16	Accounts payable	700	
	Cash		200
	Inventory		500

Paid within discount period

- Recording Purchase returns (a) and Allowances(b):

a.) June 3	Accounts payable	70	
	Inventory		70

Returned inventory to seller

b.) June 3	Accounts payable	10	
	Inventory		10

Received a purchase allowance

The return and the allowances have two effects:

1. they decrease the purchasers liability → debit Acc Payable
2. they decrease the net cost of the inventory → credit Inventory

- Recording Transportation Costs: in the purchase agreement *FOB (free on board)* terms are specified, indicating who pays the shipping charges

- Under FOB **shipping point** terms: title passes when inventory leaves the sellers place
→ buyer has to pay the transportation costs
- Under FOB **destination**: title passes when the goods reach the destination → seller pays transportation costs

FRIGHT IN: In general the buyer pays the transportation costs:

June 1	Inventory	20	
	Accounts payable		20

Paid a fright bill

FRIGHT OUT: is a delivery expense, which is paid by the seller, it is debited to the Delivery Expense acc

➤ Selling Inventory and Recording Cost of Goods sold:

- cash sale:

Jan 9	Cash	\$ 3000	
	Sales Revenue		\$ 3000

Cash sale

Jan 9	Cost of Goods Sold	\$ 1900	
	Inventory		\$ 1900

Recorded the cost of goods sold

- to record Sales return/ granting a sales allowance for damaged goods:

July 12	Sales Returns and Allowances	\$ 600	
	Accounts receivable		\$ 600

Received returned goods

July 12	Inventory	\$ 100	
	Cost of Goods sold		\$ 100

Returned goods to inventory

➤ Adjusting and Closing Acc of a Merchandising Business: is similar to that of a service business; in addition a merchandiser has to adjust inventory for theft, losses, damage and acc errors

➤ Preparing the Financial Statements of a Merchandising Business

- Income statement

Operating expense: expenses other than cost of goods sold, that are incurred in the entity's major line of business.(eg rent, depreciation, wages, utilities, tax etc)

Operating income: gross margin minus operating expenses plus any other operating revenue(=**income from operations**)

Other revenue: revenue that is outside the main operations, such as gain from the sale of a plant asset

Other expense: expense that is outside the main operations of a business, such as the sale of plant assets

- Statement of Owner's equity and Balance sheet are pretty similar. However a merchandiser has inventory as an asset in the balance sheet, which a service company does not have or only in small amounts.

➤ Income Statements Formats: Multi-Step and Single-Step

Multi-Step Income Statement: format that contains subtotals to highlight significant relationships. In addition to net income, it presents gross margin and operating income.

Single-Step Income Statement: format that groups all revenues together and then lists and deducts all expenses together without drawing any subtotals

➤ Using the Statements for Decision making:

- **Gross margin percentage** = $\frac{\text{Gross margin}}{\text{Net sales revenue}}$

A measure of profitability: a 45% gross margin means that each dollar of sales generates 45 cents of gross profit.

- **Rate of inventory Turnover** = $\frac{\text{Cost of goods sold}}{\text{Average inventory}}$ $\frac{\text{Cost of goods sold}}{(\text{Beginning inventory} + \text{Ending inventory})/2}$

Measures the number of times a company sells its average level of inventory during a year

➤ Accrual Acc and Cash Flows for a Merchandising Entity:

- the *income statement* reports operating performance in terms of revenues, expenses, gross margin and net income
- the *balance sheet* reports financial position in terms of assets, liabilities and own. eq.

Net purchases: purchases less purchases discounts and purchase returns and allowances